Accounting terms glossary

Northfield Institute - demo learning resource for the Lectern LMS template

Asset - something the business owns or controls that has future value.
Liability - an amount the business owes to someone else.
Equity - assets minus liabilities; the owners’ claim on the business.
Revenue - income earned from selling goods or services.
Expense - a cost incurred to earn revenue.
Accrual - recording revenue or expense when earned or incurred, not when paid.
Depreciation - spreading the cost of a long-lived asset over its useful life.
Debit / credit - the two sides of every double-entry transaction.
Cash flow - the actual movement of money into and out of the business.